EduTap

SEBI Grade A Exam

Memory-Based 2020 PYQs

Phase 1 + 2

Preface

Dear Students,
It is with great pleasure that we present to you this question paper document with detailed explanations for the SEBI Gr A 2020. This document has been meticulously designed to serve as a valuable resource for candidates preparing for the SEBI Gr A.

Aspiring candidates are often confused about the pattern, difficulty level and types of questions that may appear in their upcoming exam.

Each question has been carefully solved, and its underlying concepts and principles have been thoroughly explained. This will help you in not only to practice answering questions but also helps you understand the reasoning and logic behind each correct answer. Through explanations, you will be able to reinforce your understanding, clarify any doubts, and develop a deeper grasp of the subject matter.

We wish you all the best in your exam preparation journey and hope that this document proves to be a valuable asset in your pursuit of success.

Disclaimer: While every effort has been made to ensure the accuracy and relevance of the questions, there can be some variations in the question language and options. Therefore, we encourage you to use these questions as a reference point. This will help you acquire a comprehensive understanding of the syllabus and increase your chances of success in the upcoming SEBI Gr – A.

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Author's Note

What Next?

Part A

Phase 1

SECTION: - QUANT

Directions (Q. 1 – 5): Find the wrong term in the following Series

Q1. 23 46 74 106 143 184 229

A. 74
B. 229
C. 106
D. 143
E. 184

Answer: B

Q2. 7 9 21 67 274 1371

A. 21
B. 67
C. 9
D. 274
E. 1371

Answer: D

Q3. 79 157 312 621 1235 2471 4936

A. 4936
B. 312
C. 1235
D. 157
E. 621

Answer: C

Q4. 286 284 277 265 241 193 97

A. 286
B. 193
C. 284
D. 97
E. 241

Answer: C

Q5. 161, 224, 294, 369, 448, 532

A. 448
B. 294
C. 369
D. 224
E. 532

Answer: A

Q6. In a 180ml mixture of milk and water, water is 40% of the mixture then How much water should be added so that water becomes 60% of the mixture?

A. 70 ml
B. 65ml
C. 80ml
D. 90ml
E. 100ml
Answer: D

Q7. By selling a certain article a shopkeeper allows a discount of 35% and still makes a profit of 30%. Then his MRP is what % of CP?
A. 100%
B. 130%
C. 165%
D. 200%
E. 250%
Answer: D

Q8. A Van covers 40km in 2 hours and a car's speed is 25km more than Van. Then find the time taken by car to cover a distance of 585km?
A. 11hrs
B. 10hrs
C. 13hrs
D. 12.5hrs
E. 11.5hrs
Answer: C

Q9. 12 men and 10 women together can finish a piece of work in 8 days while 8men and 9 women together finishes the same piece of work in 10 days. Then find the time taken by 16men and 8women together to finishes same piece of work?
A. 60/9 days
B. 50/9 days
C. 70/9 days
D. 30/7 days
E. 40/9 days
Answer: C

Q10. Difference between speed of a boat in still water and rate of current is 12km/h. And the respective ratio between speed of boat in downstream and upstream is 9:4. Then the distance covered by Boat in downstream in 5hrs is?
A. 120km
B. 125km
C. 130km
D. 135km
E. 140km
Answer: D

Q11. Sum of the ages of Ram and Kiran is 75 years while the difference between Hema's age and Kiran's age is 10 years. After 4 years Hema's age will be half that of Ramesh's age, then find the present age of Kiran?

A. 17yrs
B. 14yrs
C. 16yrs
D. 13yrs
E. 20yrs

Answer: A

Q12. Average weight of A, B and C is 38kg while average weight of A and B is 25kg. Average weight of B and D is 28kg while ratio between D and C weight is 1:4, Then find the sum of weight of all four (A, B, C and D)

A. 120kg
B. 128kg
C. 132kg
D. 136kg
E. 130kg

Answer: E

Q.13) A man bought 50 bananas and sells 30 of them at a profit of 10rs. Per banana and remaining in rs.1500 still makes a profit of 40% to the overall. Find the cost price of each banana?

A. Rs. 45
B. Rs. 55
C. Rs. 42
D. Rs. 35
E. Rs. 25

Answer: A

Direction (14 – 19): Read the following information carefully and answer the questions based on it.

Three are three types of buses Normal (A and B), Luxury (P and Q) and Volvo (M). Each bus has two classes – Sleeper and General class. The ratio of number of Seats in Sleeper class and general class of bus A is in 3:2 and the number of seats in a general class of bus B is 57(1/7)% more than the sleeper class of same Bus. Number of seats in the sleeper class of Bus P is 25 less than that of Bus B. Number of seats in the General class and the Sleeper class of Bus P is the same. Number of seats in the general class of bus Q is 50% of seats in the sleeper class of the same Bus. Ratio of the number of seats in the sleeper class of Bus B and that of Bus Q is in the ratio of 5:12 respectively. Ratio of the number of seats in the General class and Sleeper class of Bus M is in the ratio of 65:39 respectively. Total seats in Sleeper class and general class of bus Q and M together is 615 and 535 respectively. Total number of seats in the sleeper class of buses A and B together is 415.

Q14. If 45% of seats in Sleeper class and 60% of seats of the general class of bus Q is occupied by male passengers and the rest seats are occupied by female passengers, then find the total number of female passengers in Bus Q. (Only one person is allowed to sit on one seat).

A. 325
B. 295
C. 315
D. 335
E. None of these

Answer: C

Q15. If 40% of seats in sleeper class of normal buses in occupied by male passengers and 33.33% of seats in general classes of normal buses are occupied by female passengers. If the price of one male passenger is Rs. 69 and of female passengers Rs. 24, then find the total revenue generated by normal buses if the buses are fully occupied?

A. Rs. 40920
B. Rs. 40720
C. Rs. 40820
D. Rs. 40520
E. None of these

Answer: A

Q16. If there is another bus N, having seats 65% more than that of bus M, and the ratio of number of seats in sleeper class and in general class in bus N is 6:7 respectively. Find the number of seats in general class of bus N.

A. 472
B. 462
C. 492
D. 482
E. None of these

Answer: B

Q17. Find the average number of seats in the general class of all buses together?

A. 234
B. 214
C. 204
D. 244
E. None of these

Answer: E

Q18. Find the difference between the number of seats in the sleeper class of bus A and bus M?

A. 55
B. 65
C. 85
D. 45
E. None of these

Answer: D

Q19. Find the total number of seats in bus B is how much % more or less than that of bus P?

A. 50%
B. 66.66%
C. 75%
D. 25%
E. None of these

Answer: A

Q20. Two rectangular sheets of paper, each 30cm × 18cm are made into two right circular cylinders, one by rolling the paper along its length and the other along the breadth. The ratio of the volumes of the two cylinders, thus formed, is

A. 2:1
B. 3:2
C. 4:3
D. 5:3
E. None of these

Answer: D

SECTION: - REASONING

Directions (21-22): Study the following information carefully to answer the given questions.

Point B is 12 m South of Point A. Point C is 24 m East of Point B. Point D is 8 m South of Point C. Point D is 12 m East of Point E and Point F is 8 m North of Point E.

Q21. If a man has to travel to Point E from Point A (through these points by the shortest distance), which of the following points will be pass through first?

A. Point C

B. Point D

C. Point F

D. Point B

E. None of these

Answer: D

Q22. If a man is standing facing North at Point C, how far and in which direction is Point F?

A. 12 m, West

B. 24 m, East

C. 12 m, East

D. 24 m, West

E. None of these

Answer: A

Directions (23-24): Do as directed in each of the following questions.

Q23. Twenty percent of all energy consumed in the country is consumed by home appliances. If appliances that are twice as energy-efficient as those currently available are produced, this figure will eventually be reduced to about ten percent.

The argument above requires which of the following assumptions?

A. Home-appliance usage would not increase along with the energy efficiency of the appliances.

B. It would not be expensive to produce home appliances that are energy-efficient.

C. Home-appliance manufacturers now have the technology to produce appliances that are twice as energy-efficient as those currently available.

D. The cost of energy to the consumer would rise with increases in the energy efficiency of home appliances.

E. None of these

Answer: A

Q24. Kapil has twelve years of typing experience behind him; therefore, if you are looking for an efficient typist to enter your data into the new system, you need look no further.

The speaker assumes that:

A. Twelve years of practice ensures typing efficiency
B. The type of typing required for the new system is identical to what Kapil has been doing
C. Kapil's job profile is the best that the new employer is going to get
D. Kapil is an outstandingly fast and accurate typist
E. Kapil will fit well into the new office

Answer: A

Directions (25-29): Study the following information carefully and answer the questions given below:

There are six members V, U, T, A, B, C in a family, among them only two are married couple. All of them have liking different numbers i.e. 10, 11, 12, 16, 14, 21 (but not necessarily in the same order).
V, U and T are seated in a circle facing the centre. A, B and C are also seated in the same circle but two of them are not facing the centre (facing opposite direction of the centre).11 number is liked by B. V who is son-in-law of C is second to the left of A's husband. B who has only one child and B's child is youngest in the family, sits second to the right of A. C, his daughter is B

who sits third to the left of T who is immediate neighbour of C. T likes the number which is perfect square. A sits immediate left of V but not an immediate neighbour of C. V and T are siblings. A is grandmother of U. only 2 females in a family. The one who is youngest in the family likes 12. The number, A likes is less than 12. The number which is liked by V is 11 more than the number which is liked by A.

Q25. Which of the following are not facing the centre?
A. BA
B. CU
C. TC
D. Cannot be determined
E. None of these
Answer: A

Q26. Which of the following is T's position with respect to B?
A. Third to the right
B. Second to the right
C. Third to the left
D. Third from either to the right or to the left
E. None of these
Answer: D

Q27. Which of the following is the combination of female members in the family?
A. The one who likes 11 and the one who likes 10
B. The one who likes 12 and the one who likes 10
C. The one who likes 11 and the one who likes 21
D. The one who likes 14 and the one who likes 16
E. Cannot be determined
Answer: A

Q28. Which of the following is true regarding the seating arrangement?
A. A, B and U are seated adjacent
B. V, U and T are seated adjacent
C. There are two persons whose seating arrangement cannot be determined
D. U is not facing the centre
E. There are only two persons seated between V and T
Answer: A

Q29. Which of the following is A's position with respect to child of V?
A. Second to the left
B. Second to the right
C. Third to the right
D. Cannot be determined
E. None of these
Answer: B

Directions (30-34): Study the following information carefully and answer the below questions

Seven persons i.e. M, N, O, P, Q, R and S are living in a seven storey building with seven different floors such that the ground floor is numbered as 1, the floor just above the ground floor is numbered as 2 and so on till the topmost floor is numbered as 7. They all go to different countries i.e. Italy, China, London, Sri Lanka, Austria, India and Japan. All the information is not necessarily in the same order. M neither goes to Sri Lanka nor lives just above O's floor. P lives below R. N goes to London and lives on floor number 3. Three persons live between the one who goes to India and the one who goes to China. S is from Italy and lives on a floor adjacent to Q's floor. The one who goes to India lives on an even numbered floor. Two persons live between the floors on which the person who goes to Japan and the person who goes to Sri Lanka live. Q neither goes to Japan nor goes to Sri Lanka. O is from Japan and lives above the one who goes to China. O doesn't live on the topmost floor. The person who goes to London lives on a floor below the person who goes to Sri Lanka and Japan. Q doesn't live adjacent to the one who belongs to Sri Lanka and Japan.

Q30. Which among the following statements is true?

A. Three persons live between the one who goes to Austria and Q
B. R lives on an even-numbered floor
C. S lives just below the one who lives just below N's floor
D. The one who goes to Japan lives above R
E. All are true

Answer: C

Q31. Four of the following five are alike in a certain way and thus form a group. Which among the following doesn't belong to the group?

A. P- Sri Lanka
B. O- India
C. N-Austria
D. Q-Japan
E. M- India

Answer: E

Q32. Who amongst the following lives on an odd numbered floor?

A. The one who goes to India
B. O
C. The one who goes to Italy.
D. Q
E. None of the above

Answer: C

Q33. Who among the following lives on the floor 5th?

A. The one who goes to Italy
B. R
C. The one who goes to Japan
D. The one who lives just above the one who goes to Japan

E. None of the above

Answer: D

Q34. Which among the following statement is not true?

A. The one who goes to India lives on the 5th floor
B. O lives on an even-numbered floor
C. The one who goes to London lives on an odd numbered floor
D. No one lives above R
E. The one who goes to Italy lives on the bottommost floor

Answer: A

Direction (35-38): In the question below are given some statements followed by some conclusions. You have to take the given statements to be true even if they seem to be in variance with commonly known facts. Read all the conclusions and then decide which of the given conclusions logically follows from the given statements disregarding commonly known facts.

Q35.

Statements: Only a few flower is fruit.
No fruit is food.
All food is vegetable.
Conclusions: I. All fruit being flower is a possibility.
II. No fruit are vegetable.

A. Only conclusion I follows.
B. Only conclusion II follows.
C. Both conclusion I and II follow.
D. Neither conclusion I nor conclusion II follows
E. None of the above.

Answer: A

Q36.

Statements: Only a few Actor is Actress.
No Actress is Person.
Some Person is Villain.
Conclusions: I. All Villain Being Actress is a possibility.
II. Some Actress not being Actor is a possibility

A. Only conclusion I follows.
B. Only conclusion II follows.
C. Both conclusion I and II follow.
D. Neither conclusion I nor conclusion II follows
E. None of the above.

Answer: B

Q37.
Statements: All leaf is root.
Only a few root is branch.
No branch is tree.
Conclusions: I. Some leaf is branch.
II. Some tree are not root.

A. Only conclusion I follows.
B. Only conclusion II follows.
C. Both conclusion I and II follow.
D. Neither conclusion I nor conclusion II follows
E. None of the above.

Answer: D

Q38.
Statements: Only a few black is red.
Some red is yellow.
Some yellow is orange.
Conclusions: I. No orange is red.
II. Some red not being black is a possibility.
A. Only conclusion I follows.
B. Only conclusion II follows.
C. Both conclusion I and II follow.
D. Neither conclusion I nor conclusion II follows
E. None of the above.

Answer: B

Q39. A number is given as 52847936 respectively if 2 is subtracted from each even digit and 3 is subtracted from each odd digit. Then what will be the sum of digits of new number?
A. 22
B. 20
C. 24
D. 30
E. 18

Answer: C

Q40. How many such pairs of letters are there in the word 'INTEGRATE' each of which has as many letters between them in the word as in the English alphabet?

A. One
B. Three
C. Four
D. None

E. Two

Answer: E

Section: - English Language

(Directions 41-44): Identify the words that are *similar in meaning* to the phrase in bold. If none of option conveys the correct meaning, mark (E) as your answer. The options do not necessarily need to be grammatically correct.

Q41. He spoke with the fervour of discovery, unaware that he was **reinventing the wheel.**

A. Wasting time

B. Construct a wheel

C. Repeating thoughts

D. Growing continuously

E. None of these

Answer: A

Q42. They allowed him **to save face** by accepting his resignation.

A. Enhance dignity

B. Avoid humiliation

C. Reverse the decision

D. make it difficult

E. None of the above

Answer: B

Q43. Agriculture stocks **gained ground** after the finance minister proposed to raise institutional credit for agriculture to Rs.11 lakh crore for 2018-19.

A. Increase in quantity

B. Become Popular

C. Lose momentum

D. Market capitalization

E. None of the above

Answer: B

Q44. When he heard the bad news, he kept a **stiff upper lip.**

A. Stoic demeanour

B. Emotional outburst

C. Physical injury

D. Agitated state

E. None of the above

Answer: A

(Directions 45-49): Rearrange the following six sentences A, B, C, D, E, and F in the proper sequence to form a meaningful paragraph and then answer the question given beside.
A. In dualistic thinking, students typically tend to depend on figures of authority as benchmarks on what is right or wrong rather than analyzing facts.

B. An understanding and realization of this model could enable students to develop intellectually beyond the level.

C. His concept of dualistic thinking in his model of intellectual development involving nine levels, published in 1970.

D. Perry's model today remains part of college teaching systems in many western contexts.

E. William G. Perrywas a well-known educational psychologist who studied the cognitive development of students during their college years.

F. Dualism refers to the first level of intellectual capacity, to understand good and evil in black and white, sans intervening shades.

Q45. Which of the following would be the **FOURTH** sentence after rearrangement?

A. E

B. F

C. D

D. B

E. A

Answer: E

Q46. Which of the following would be the **LAST** sentence after rearrangement?

A. E

B. D

C. F

D. C

E. A

Answer: B

Q47. Which of the following would be the **FIRST** sentence after rearrangement?

A. A

B. C

C. F

D. E

E. D

Answer: D

Q48. Which of the following would be the **SECOND** sentence after rearrangement?

A. B

B. F

C. C

D. D

E. E

Answer: C

Q49. Which of the following would be the **THIRD** sentence after rearrangement?

A. F

B. A

C. C

D. E

E. B

Answer: A

Direction (50): In the following questions, a sentence has been broken into parts. Identify the parts, which are correct in terms of grammar, spelling and logical consistency. Then choose the most appropriate answer.

Q50. A. The worse attack on this peacekeeping

B. mission is a tragic reminder

C. of how this conflict is

D. spiralling out of control.

A. A & B

B. A, B & D

C. A, B & C

D. B, C & D

E. All are correct

Answer: D

Direction (51-52): In the following questions, two related sentences I and II are given. There may be an error in the sentence(s). You have to find the error and then select the correct option from those given after the sentences.

Q51. I. Yellowstone National Park is the oldest national park in the US and likely the world.

II. Anyone can drive through the park and encounter an array of wildlife a few feet away.

A. If there is an error only in the first sentence.

B. If there is an error only in the second sentence.

C. If there are errors in both sentences

D. If there is an error in either of the sentences

E. If there is no error in either of the sentences

Answer: C

Q52. I. The Amazon River is the artery for the largest rainforest in the world.
II. It is the largest river in the world by discharge and one of the larger one by length.

A. If there is an error only in the first sentence.

B. If there is an error only in the second sentence.

C. If there are errors in both sentences

D. If there is an error in either of the sentences

E. If there is no error in either of the sentences

Answer: B

Direction (53-55): In the questions given below, a blank has been provided for each and needs to be filled with the appropriate word. Choose the best option among the given ones.

Q53. Even though India has become world's second largest mobile phone manufacturer in the world after china, it is also _____ for simply bringing in most of the components and assembling them, an activity also sarcastically termed as screwdriver technology.

A. Denuded

B. Derided

C. Lauded

D. Simulated

E. Exalted

Answer: B

Q54. Alcohol-induced liver damage is a growing epidemic, especially in Kerala where aberrant lifestyle changes are being _____ at a rapid rate as compared to rest of India.

A. Exhume

B. Entwined

C. Tangible

D. Imbibed

E. Foresight

Answer: D

Q55. Delhi is the _____ example of a city that has neglected its environment and needs a fundamental policy change incorporating environmental preservation within the economic goals so as to shift the mindset of Indian society.

A. Quintessential

B. Banal

C. Flawed

D. Primitive

E. Spirit

Answer: A

Directions (56-60): Read the passage given below and answer the questions that follow.
Energy sector is dominated by traditional energy sources, comprising primarily of oil, gas and coal. These constitute about 85 per cent of India's total energy consumption, followed by renewable energy, which takes care of about 13 per cent of the pie. This trend is fast changing, as government is shifting its focus from traditional sources to cleaner and renewable sources of energy.
In a bid to reduce emissions, the Supreme Court had banned the sale and registration of non BS-IV compliant vehicles with effect from 1 April 2017. The government has been encouraging development of electric vehicles (EVS) for the Indian market. This paradigm shift towards electric vehicles is going to be a game-changer for the Indian economy in general and our energy sector in particular, as it will curtail demand for oil and gas in the long run. India, being a net importer of crude oil at present, is expected to benefit immensely from the ongoing shift towards electric vehicles. Also, this shift is expected to strengthen India's fiscal position in the years to come.

While companies are waiting for more clarity on the policy front, many corporates have already started investing in the development of technologies and infrastructure for electric vehicles. Several auto companies have aggressively scheduled product launches of electric vehicles over the next five years. The government has plans to make India a 100 percent electric vehicle nation by 2030 and, transport authorities across states have shown their keen interest in rolling out electric bus services.
India is the world's third largest producer of electricity, with a total installed capacity of 329 GW as of 31 August 2017. Thermal energy, comprising coal, gas and diesel power, constitutes about two thirds of the total installed capacity, followed by renewable energy and nuclear power, comprising about a 31 percent and 2 percent share in the pie respectively. During the last few years, the power sector in India has been witnessing major changes, with the government promoting cleaner energy, such as wind, solar and hydropower, among others, in a bid to provide rapid electrification to the entire country. There is a sharp increase in the capacity additions in the renewable energy space. On the other hand, the fossil energy space has been witnessing a sharp slowdown in capacity additions, as is seen in the statistics of April-August 2017. Only 3,790 MW of fresh capacity was added during the period, as against a targeted addition of 14,956 mw for 2017-18.
The outlook for new capacities in the thermal power space looks **bleak**, as there are no fresh long term power purchase agreements signed. Additionally, there is a sharp fall in the tariffs for renewable energy, competing aggressively with thermal power tariffs. To reduce its dependence on coal mining, India's largest coal mining company, Coal India, too has announced its intention to diversify into mining of other minerals such as bauxite, nickel, iron ore, etc.
Tariffs for wind and solar energy, which used to be **prohibitively** high a few years back, are now seen competing strongly with thermal power. Solar power tariffs were R2.65-3.36 per unit last month for 500 MW capacities, as compared to the all-time low tariffs of R2.44 per unit in May 2017. Wind power tariffs have fallen to a record low of Rs 2.64 per unit in the auction conducted by SECI for 1 GW capacities. The government aims to bring power tariffs to R3 per unit, irrespective of the source in the medium term.
The popularity of electric vehicles is all set to rise, with power tariffs becoming more affordable – driven by an increase in renewable power capacities. The development of improved technologies and supporting infrastructure facilities will further push demand for electric vehicles in the country. A clear shift from subsidized fuel towards low-priced clean energy is expected now, which ought to be beneficial for the country. The share of oil, gas and coal in India's energy sector is expected to fall, while the share of cleaner and renewable energy is expected to rise in the years to come.

Q56. Choose the word/group of words which is MOST SIMILAR in meaning to the word/group of words printed in bold as used in the passage.

Prohibitively

A. Incompletely

B. In extreme

C. Blandly

D. Uncomfortably

E. Passionately

Answer: B

Q57. Choose the word/group of words which is MOST SIMILAR in meaning to the word/group of words printed in bold as used in the passage.

Bleak

A. Cheerful

B. Appealing

C. Warm

D. Austere

E. Vivacious

Answer: D

Q58. What recent changes have been observed in India's power sector?

I. In terms of capacity addition, increase in addition at a decreasing rate has been seen in renewable energy space.

II. Government has been actively promoting cleaner energy, such as wind, solar and hydropower.

III. Tariffs for wind and solar energy are still prohibitively high and would take some time before being able to compete with thermal power effectively.

A. Only I

B. Only II

C. Only I and II

D. Only II and III

E. None of the above

Answer: B

Q59. Which of the following, if true, could give a fillip to EVS in India?

I. Power tariffs decrease owing to increase in power generation capacity.

II. The government provides subsidies on clean energy and taxes conventional fuels.

III. Spreading awareness about the advantages EVS have over non-EVS.

A. Only I

B. Only II

C. Only III

D. Only I and II

E. All of the above

Answer: E

Q60. Which of the following is/are true with reference to the passage?

I. Energy sector is dominated by traditional non renewable energy sources.

II. Shift towards Electric vehicles will lead to more consumption of oil and gas in the long run.

III. Reduction in the use of oil and gas will lessen India's imports and improve fiscal numbers.

A. Only I

B. Only II

C. Only I and III

D. Only II and III

E. All of the above

Answer: C

SECTION: - GENERAL AWARENESS

Q61. 63rd Foundation Day of DRD has been recently celebrated on which of the following days?

A. 1st Jan 2021
B. 10th Dec 2020
C. 7th Jan 2021
D. 5th Dec 2020
E. 25th Dec 2020

Answer: A

Q62. Chacha Chaudhari has been recently roped in as the brand ambassador of which of the following initiatives of the Govt of India, in month of Nov 2020?

A. SC and ST students
B. NRI students
C. Differently abled people
D. Women working in SHGs
E. All the above

Answer: C

Q63. The Pension Fund Regulatory and Development Authority (PFRDA), has increased the minimum net worth criterion for pension fund managers to ₹ _____ from ₹25 crore, in the month of Feb 2020.

A. 35 crore

B. 45 crore
C. 60 crore
D. 50 crore
E. 100 crore

Answer: D

Q64. Which of the following International organizations has announced the launch of (in the month of December 2020) International Prize in the field of "creative economy" in the name of Bangabandhu Sheikh Mujibur Rahman?

A. UNDP
B. UNESCO
C. UNEP
D. World Bank
E. IMF

Answer: B

Q65. President Ram Nath Kovind has recently launched a book titled "Pioneer of Humanity: Maharshi Arvind", in the month of Dec 2020. It is authored by which of the following Ministers of the Central Govt?

A. Rajnath Singh
B. Nirmala Sitharaman
C. Amit Shah
D. Ramesh Pokhrial Nishank
E. Nitin Gadkari

Answer: D

Q66. SDGs are the global goals to be achieved by which of the following years?

A. 2040
B. 2030
C. 2025
D. 2050
E. 2022

Answer: B

Q67. Recently in the month of Nov 2020, Sonu Sood has been appointed the State Icon of which of the following states by the Election Commission of India (ECI)?

A. Punjab

B. Maharashtra
C. Haryana
D. Gujarat
E. Karnataka

Answer: A

Q68. Which of the following has become the first UT in country to operationalize Public Financial Management System (PFMS) at the district level, in the month of Oct 2020?

A. Chandigarh
B. Jammu & Kashmir
C. New Delhi
D. Puducherry
E. Leh

Answer: B

Q69. Recently in the month of Oct 2020, which of the following companies has announced its target of 100% renewable electricity across all company owned and controlled operations by the year 2030?

A. Parle Agro
B. PepsiCo
C. Britannia
D. Hindustan Unilever ltd.
E. None of these

Answer: B

Q70. Union Minister of Science and Technology Dr. Harsh Vardhan has inaugurated India's Highest Meteorological (Met) Centre at which of the following places, in the month of Dec 2020?

A. Gangtok
B. Srinagar
C. Mandi
D. Aizawl
E. Leh

Answer: E

Q71. Ladakh Buddhist Association has recently (in Dec 2020) celebrated _____ festival in Leh to mark the beginning of New Year of Buddhist Community?

A. Losar
B. Pang Lhabsol
C. Saga Dawa

D. International Flower Festival
E. Cherry Blossom festival

Answer: A

Q72. The Reserve Bank of India (RBI) has proposed to introduce LCR for Non-Banking Financial Companies (NBFCs) with an asset size of Rs 5,000 crore and above, in the year 2019. What does "C" stand for in the acronym LCR?

A. Coverage
B. Convertible
C. Capital
D. Company
E. Convergence

Answer: A

Q73. Name the Mission that has been recently launched by the Government, in the month of Dec 2020, to promote the quality of products being manufactured in the country?

A. Make in India
B. Brand India
C. Quality India
D. Mission Brand
E. Mission India

Answer: B

Q74. Who among the following has been appointed as the deputy election commissioner in the Election Commission of India, in the month of Jan 2021?

A. Rajiv Gauba
B. Ajay Bhushan Pandey
C. Umesh Sinha
D. Piyush Goyal
E. None of the above

Answer: C

Q75. Recently in Dec 2020, BSE has launched an electronic spot platform for agricultural commodities through its subsidiary BSE Investments. Name of the platform is?

A. BSEX
B. PILLAR
C. AGRIDEX
D. INVIDEX

E. BEAMS

Answer: E

Q76. The first lithium refinery of India will soon be set up in the state of _____ to boost the nation's efforts towards electrification of transport, announced in Dec 2020.

A. Rajasthan
B. Jharkhand
C. Maharashtra
D. Chhattisgarh
E. Gujarat

Answer: E

Q77. In India, the National Consumer Day is observed every year on which day to spread awareness to about consumer importance, their rights, and responsibilities?

A. Jan 24th
B. Oct 2nd
C. Dec 24th
D. Nov 14th
E. Nov 25th

Answer: C

Q78. Which of the following organizations has released Rule for dividend distribution in mutual funds, that will come into effect from Jan 2021?

A. RBI
B. NABARD
C. SEBI
D. Ministry of Finance
E. IRDAI

Answer: C

Q79. Fashion designer Pierre Cardin, who revolutionised fashion in the early 1950s, has recently passed away at the age of 98, in the month of Dec 2020. He belonged to which of the following countries?

A. Germany
B. USA
C. France
D. Canada

E. Australia

Answer: C

Q80. Which of the following is the aim of Nai Manzil scheme?

A. to match the aptitude of individuals to the demand in the work environment and increase work efficiency of existing daily wage earners by providing them monetary rewards and quality training.
B. To provide high quality teaching to the Postgraduate students and produce Postgraduates with research aptitude and knowledge in the subjects of Modern Science.
C. to benefit the minority youths who do not have a formal school leaving certificate in order to provide them formal education and skills.
D. Both b & c
E. All of the above

Answer: C

Part B

Phase 2 Paper 1

Q.1 Write an Essay of about 200 words on any one of the following topics: -(30 Marks)

1.Importance of teamwork in an organization.

Teamwork is used across many different industries to increase performance, employee unity and company culture. Companies that must frequently develop new ideas or products using a project-based approach assemble teams in order to diffuse responsibility and to increase the number and diversity of ideas for the project. Team members use teamwork to bounce ideas off one another before deciding on a development path for a project. Teamwork is important due to the problem-solving synergy gained from multiple minds working on a solution. When one person works on a specific company problem, that person only has her personal experience and knowledge from which to pull for solutions. Using teamwork, team members pool their collective ideas together to generate unique ideas for dealing with problems. Problems in this case are not purely negative. The problem could be developing a product for a consumer to address a need that the consumer does not know that she has. Two or more people working together also build upon one another's ideas, weeding out the weak parts and making the ideas better. When a team is cohesive and works well together, it gives team members a feeling that they belong to something good. Everyone wants to be on a winning team, but you can't win all the time. Belonging to the team makes the setbacks more bearable because they're shared. Team members console one another and prop each other up, reminding everyone of their successes and that together, they will be victorious again. This promotes strong working relationships.

Teamwork is the backbone of effective communication within a company. When employees work as individuals or independently on projects, they may not readily share knowledge or new information. This lack of communication increases the time it takes to complete projects, tasks or the development of solutions. Teamwork promotes conversation between employees regarding the task at hand, possibly preventing employees from working in opposite directions. For example, if one employee does not communicate that one method of addressing a problem is a dead end, and another employee is still trying to use that method, productivity is lowered. Two working together may also feel more emboldened to ask a third person for advice or input, or to point out what doesn't make sense in the project, rather than spinning their wheels on something that isn't working. Cohesion is an important byproduct of

teamwork within a company. This cohesion could be the result of increased chemistry, trust or both from working on projects as a team. Cohesive employees are less likely to be confrontational toward one another and more accepting of each other's decisions. Cohesion from teamwork can greatly increase the work-flow speed of a company. When employees work together as a team within a company, every employee learns from one another. This knowledge is not limited to the personal experiences of coworkers; employees from different departments may learn information from each other regarding the limitations and possibilities of those departments. For example, if a marketing department consistently makes demands with unrealistic deadlines to another department, the marketing department may see through teamwork because its requests are unreasonable.

2. Pros and Cons of Mergers and acquisitions of companies.

When companies come together through the mergers and acquisitions process [M&A], there are numerous issues that must be analyzed to determine if the benefits of such a move outweigh the risks that are involved. There are always benefits to the M&A process and there are always disadvantages. Even long-term advantages may outweigh short-term difficulties. This is why evaluating the numerous pros and cons of mergers and acquisitions that are transaction specific is so important. The Pros of Mergers and Acquisitions

1. It adds more value to the combined entity than either individual company can produce on its own. At its heart, the M&A process is all about reducing duplication so that more efficiencies can be achieved. The end result is typically an enhance level of overall revenue because there aren't costly redundancies that occur through the product chain.

2. It opens up new markets for both companies. Once an organization has merged with another, it instantly gains a new market share that it may not have had before. Many people within an industry are brand loyal and the M&A process allows people to maintain that loyalty while potentially transitioning to new goods or services.

3. It is a cost-effective method to fuel expansion. If a business has to upgrade their internal processes or their existing technologies on their own, then this can create a massive charge on several budget lines that can be difficult, if not impossible, to absorb.

4. It can create multiple growth opportunities. Two businesses that may have been competing against each other now work together as one entity in the completion of the M&A process. This means they are more effective on a local level at providing economic benefits because there isn't a "race to the bottom" occurring.

The Cons of Mergers and Acquisitions

1. It creates distress within the employee base of each organization. The M&A process invariably consolidates positions within the companies that are duplicated. This often means that there is a chance layoff could occur, which would place people out of work for an indefinite period of time.

2. It may increase the amount of debt that is owed. If there are debts owed by either organization [or both], then the M&A process may increase the balance sheet debt of the combined company.

3. There can be differences in corporate culture that are not easy to consolidate.

4. It isn't a one-person decision most of the time.

The pros and cons of mergers and acquisitions show that this business transaction should not be something that is just rushed into without thought. An empowered decision is required. By evaluating all of the key points, it becomes more likely that the best possible decision can be made.

3. Role of technology in detecting and preventing financial frauds.

Along with precautionary, well-designed fraud prevention procedures, once fraud occurs, how companies can detect it promptly and efficiently is also of great importance. With financial statement fraud for example, when investigators dedicate themselves to probing for suspicious transactions or activities, they traditionally perform inspections on every voucher and invoice of every transaction. If the quantity of transactions is too large for them to tackle, they usually choose an alternative method: a selective check based on the filtered importance threshold. However, there is still a possibility that fraudulent transactions remain undiscovered since the checks are selective, not comprehensive. Thanks to the evolution of technology, investigators can now conduct a thorough and complete audit of entire populations of transactions in a relatively short period. So how can technology improve the efficiency of the fraud detection process? As previously illustrated, a full and detailed examination can now be achieved via data analysis. Additionally, technology

could be integrated into the fraud investigation process. In our experience, once fraud is discovered, the first step was to build a basic background information understanding. In this aspect, it is necessary to comprehend a fraudster's relatives and close friends to establish his or her interpersonal relationships, then try to clarify the accomplice network. The prevalence of mobile phones and social networking apps such as Facebook, Twitter, WeChat, Instagram and WhatsApp provides investigators with a great opportunity to observe fraudsters' interests, lifestyle and characteristics. In addition, social networking analysis tools, like NodeXL, SVAT, Gephi, etc., could be deployed to achieve the same goal.

Evidence of specific or unprecedented accounting subjects, such as temporary payments or account receivables factoring, are also red flags. Those anomalies could be identified via several data analysis tools like SAP, CaseWare IDEA, etc. Another investigative phase is to appropriately and legitimately collect evidence. In a digital world, almost all data is stored on electronic devices, such as cellphones, computers, servers, cloud systems, etc. Thus, it is vital to gather digital evidence through proper devices to prevent them from being polluted, which might result in them being unable to be presented in court. In this regard, forensic tools such as Encase, FTK or Helix are certified and commonly employed by investigators. Lastly, it is requisite to summarize all the information and make an interpretation –a task which is traditionally completed by investigators. With the development of computer technology, some programmes, such as Qlik or Tableau, could be applied to comprehensively display trends and variables, so that the whole story can be seen. Fraud can indeed cause great damage to companies –both financially and reputationally. However, with the assistance of sound and complete fraud prevention and management procedures, the possibility of fraud can be reduced to a certain extent. In addition, through efficient fraud detection methods, particularly the aforementioned technologies, not only can losses be reduced instantly, but a company can also demonstrate its fraud-resolving determination to society. Only when preventive measures and post-response actions complement each other can fraud risks be effectively deterred and controlled.

4. Fake news and how to identify them.

Fake news is false or misleading information presented as news. It often has the aim of damaging the reputation of a person or entity or making money through advertising revenue. However, the term does not have a fixed definition, and

has been applied more broadly to include any type of false information, including unintentional and unconscious mechanisms, and also by high-profile individuals to apply to any news unfavorable to his/her personal perspectives. Once common in print, the prevalence of fake news has increased with the rise of social media, especially the Facebook News Feed. Political polarization, post-truth politics, confirmation bias, and social media algorithms have been implicated in the spread of fake news. It is sometimes generated and propagated by hostile foreign actors, particularly during elections. The use of anonymously hosted fake news websites has made it difficult to prosecute sources of fake news for libel. In some definitions, fake news includes satirical articles misinterpreted as genuine, and articles that employ sensationalist or clickbait headlines that are not supported in the text. Multiple strategies for fighting fake news are currently being actively researched and need to be tailored to individual types of fake news. Effective self-regulation and legally enforced regulation of social media and web search engines are needed. The information space needs to be flooded with accurate news to displace fake news. Individuals need to actively confront false narratives when spotted, as well as take care when sharing information via social media. However, reason, the scientific method and critical thinking skills alone are insufficient to counter the broad scope of bad ideas. Overlooked is the power of confirmation bias, motivated reasoning and other cognitive biases that can seriously distort the many facets of immune mental health. Inoculation theory shows promise in designing techniques to make individuals resistant to the lure of fake news, in the same way that a vaccine protects against infectious diseases.

- Consider the source (to understand its mission and purpose)
- Read beyond the headline (to understand the whole story)
- Check the authors (to see if they are real and credible)
- Assess the supporting sources (to ensure they support the claims)
- Check the date of publication (to see if the story is relevant and up to date)
- Ask if it is a joke (to determine if it is meant to be satire)
- Review your own biases (to see if they are affecting your judgment)
- Ask experts (to get confirmation from independent people with knowledge).

Considerable research is underway regarding strategies for confronting and suppressing fake news of all types, in particular disinformation, which is the deliberate spreading of false narratives for political purposes, or for destabilizing

social cohesion in targeted communities. Multiple strategies need to be tailored to individual types of fake news, depending for example on whether the fake news is deliberately produced, or rather unintentionally or unconsciously produced.

Q.2 Read the given passage and draft a precis within 170 words: -(30 Marks)

For decades, psychologists and sociologists have pushed back against the theories of mainstream finance and economics, arguing that human beings are not rational utility-maximizing actors and that markets are not efficient in the real world. The field of behavioral economics arose in the late 1970s to address these issues, accumulating a wide swath of cases when people systematically behave "irrationally." The application of behavioral economics to the world of finance is known, unsurprisingly, as behavioral finance. From this perspective, it's not difficult to imagine the stock market as a person: It has mood swings (and price swings) that can turn on a dime from irritable to euphoric; it can overreact hastily one day and make amends the next. But can human behavior really help us understand financial matters? Does analyzing the mood of the market provide us with any hands-on strategies? Behavioral finance theorists suggest that it can. Behavioral finance is a subfield of behavioral economics, which argues that when making financial decisions like investing people are not nearly as rational as traditional finance theory predicts. For investors who are curious about how emotions and biases drive share prices, behavioral finance offers some interesting descriptions and explanations. The idea that psychology drives stock market movements flies in the face of established theories that advocate the notion that financial markets are efficient. Proponents of the efficient market hypothesis (EMH), for instance, claim that any new information relevant to a company's value is quickly priced by the market. As a result, future price moves are random because all available (public and some non-public) information is already discounted in current values.

We can ask ourselves if these studies will help investors beat the market. After all, rational shortcomings should provide plenty of profitable opportunities for wise investors. In practice, however, few if any value investors are deploying behavioral principles to sort out which cheap stocks actually offer returns that are consistently above the norm. The impact of behavioral finance research still remains greater in academia than in practical money management. While theories point to numerous rational shortcomings, the field offers little in the

way of solutions that make money from market manias. The behavioralists have yet to come up with a coherent model that actually predicts the future rather than merely explain, with the benefit of hindsight, what the market did in the past. The big lesson is that theory doesn't tell people how to beat the market. Instead, it tells us that psychology causes market prices and fundamental values to diverge for a long time. Behavioral finance offers no investment miracles to capitalize on this divergence, but perhaps it can help investors train themselves on how to be watchful of their behavior and, in turn, avoid mistakes that will decrease their personal wealth.

Solution:

Behavioral Finance: -a new study.

Behavioral finance asserts that rather than being rational and calculating, people often make financial decisions based on emotions and cognitive biases. For instance, investors often hold losing positions rather than feel the pain associated with taking a loss. The instinct to move with the herd explains why investors buy in bull markets and sell in bear markets. Behavioral finance is useful in analyzing market returns in hindsight but has not yet produced any insights that can help investors develop a strategy that will outperform in the future. However, for anyone who has been through the Internet bubble and the subsequent crash, the efficient market theory is pretty hard to swallow. Behaviorists explain that, rather than being anomalies, irrational behavior is commonplace. In fact, researchers have regularly reproduced examples of irrational behavior outside of finance using very simple experiments

Q.3Read the given passage and answer the given questions: -(40 Marks)

Money, whether it's represented by a metal coin, a shell or a piece of paper, doesn't always have value. Its value depends on the importance that people place on it—as a medium of exchange, a unit of measurement, and a storehouse for wealth. Money allows people to trade goods and services indirectly, it helps communicate the price of goods (prices written in dollar and cents correspond to a numerical amount in your possession, i.e.in your pocket, purse, or wallet), and it provides individuals with a way to store their wealth in the long-term. Money is valuable merely because everyone knows that it will be accepted as a form of payment. However, throughout history, both the usage and the form of money have evolved. While most of the time, the terms "money" and "currency" are used interchangeably, there are several theories that suggest that these

terms are not identical. According to some theories, money is inherently an intangible concept, while currency is the physical (tangible) manifestation of the intangible concept of money. Being rich is simply having a lot of money or income. It comes down to how much cash you have in your bank account. But just because you're rich, doesn't mean you are wealthy. In fact, being rich can often mean that you are spending a lot of money. It can also mean that you have a lot of debt. It doesn't matter how much money you have if your expenses are higher than your income.

By extension, according to this theory, money cannot be touched or smelled. Currency is the coin, note, object, etc. that is presented in the form of money. The basic form of money is numbers; today, the basic form of currency is paper notes, coins, or plastic cards (e.g.credit or debit cards). While this distinction between money and currency is important in some contexts, for the purposes of this article, the terms are used interchangeably. Money–in some way, shape or form–has been part of human history for at least the last 3,000 years. Before that time, historians generally agree that a system of bartering was likely used. One of the greatest achievements of the introduction of money was increasing the speed at which business, whether mammoth-slaying or monument-building, could be done. The 21st century has given rise to two novel forms of currency: mobile payments and virtual currency. Mobile payments are money rendered for a product or service through a portable electronic device, such as a cell phone, smartphone, or a tablet device. Mobile payment technology can also be used to send money to friends or family members. Increasingly, services like Apple Pay and Google Pay are vying for retailers to accept their platforms for point-of-sale payments. Bitcoin, released in 2009 by the pseudonymous Satoshi Nakamoto, quickly became the standard for virtual currencies. Virtual currencies have no physical coinage. The appeal of virtual currency is it offers the promise of lower transaction fees than traditional online payment mechanisms, and virtual currencies are operated by a decentralized authority, unlike government-issued currencies. Despite many advances, money still has a very real and permanent effect on how we do business today.

Q.1 On the basis of the passage, describe why money is considered as an idea.

Ans. Money is considered an idea because everyone knows that it will be accepted as a form of payment. However, throughout history, both the usage and the form of money have evolved. Money, whether it's represented by a metal coin, a shell or a piece of paper, doesn't always have value. Its value

depends on the importance that people place on it—as a medium of exchange, a unit of measurement, and a storehouse for wealth.

Q.2 Discuss how money is intangible according to the passage.

Ans. While most of the time, the terms "money" and "currency" are used interchangeably, there are several theories that suggest that these terms are not identical. According to some theories, money is inherently an intangible concept, while currency is thephysical (tangible) manifestation of the intangible concept of money. Money, whether it's represented by a metal coin, a shell or a piece of paper, doesn't always have value. Its value depends on the importance that people place on it—as a medium of exchange, a unit of measurement, and a storehouse for wealth.

Q.3 According to author, what is difference between having money and being rich.

Ans. As stated, being rich is simply having a lot of money or income. It comes down to how much cash you have in your bank account. But just because you're rich, doesn't mean you are wealthy. In fact, being rich can often mean that you are spending a lot of money. It can also mean that you have a lot of debt. It doesn't matter how much money you have if your expenses are higher than your income.

Q.4 Describe the evolution of money on the basis of the passage.

Ans. Money–in some way, shape or form–has been part of human history for at least the last 3,000 years. Before that time, historians generally agree that a system of bartering was likely used. Money allows people to trade goods and services indirectly, it helps communicate the price of goods (prices written in dollar and cents correspond to a numerical amount in your possession, i.e.in your pocket, purse, or wallet), and it provides individuals with a way to store their wealth in the long-term.

Q.5 Discuss why money is considered important as a commodity.

Ans. One of the greatest achievements of the introduction of money was increasing the speed at which business, whether mammoth-slaying or monument-building, could be done. The 21st century has given rise to two novel forms of currency: mobile payments and virtual currency. Mobile payments are money rendered for a product or service through a portable electronic device, such as a cell phone, smartphone, or a tablet device. Mobile payment

technology can also be used to send money to friends or family members. Increasingly, services like Apple Pay and Google Pay are vying for retailers to accept their platforms for point-of-sale payments.

Part C

Phase 2 Paper 2

Q.1) If demand curve is negatively sloped, then Law of demand says that quantity demanded is related with _____

Static or Current – **STATIC** Subject – **ECONOMICS** Difficulty Level – **EASY** Topic – **Demand and Supply**

Options:

(a) Market
(b) Price
(c) People
(d) Both A and B
(e) None of the above

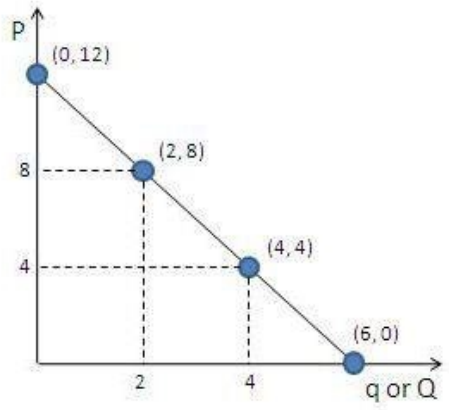
Answer: (b) Price

Explanation:

The demand curve is downward sloping, indicating the negative relationship between the price of a product and the quantity demanded.

The demand curve slopes downwards because as we lower the price of x, the demanded starts growing. At a lower price, purchasers have an extra income to spend on buying the same good, so they can buy greater of it. This ends in an inverse relationship between price and demand.

Price	Quantity Demanded
$12	0
$8	2
$4	4
$0	6



Q.2 The Phillips Curve is a relationship between _____

Static or Current – **STATIC** Subject – **Economics** Difficulty Level – **EASY** Topic – **Inflation and Unemloyment**

Options:

(a) Inflation and unemployment
(b) Inflation and quantity demand
(c) Quantity demand and price
(d) Demand and Supply
(e) None of the above

Answer: (a) Inflation and unemployment

Explanation:

The inverse relationship between unemployment rate and inflation when graphically charted is called the Phillips curve. William Phillips pioneered the concept first in his paper "The Relation between Unemployment and the Rate of Change of Money Wage Rates in the United Kingdom, 1861-1957,' in 1958.

Q.3) From the following, select the correct phase of business cycle.

Static or Current – **STATIC** Subject - **Economics** Difficulty Level – **EASY** Topic – **Business Cycle**

Options:

(a) **Expansion, Recession, Trough, Recovery**

(b) **Recession, Trough, Recovery, Expansion**

(c) **Trough, Recession, Expansion, Recovery**

(d) **Recovery, Expansion, Recession, Trough**

(e) **Recession, Expansion, Trough, Recovery**

Answer: (a) Expansion, Recession, Trough, Recovery

Explanation:

The correct phase of a business cycle is Expansion, Recession, Trough, Recovery

Q.4) Calculate the amount of net profit from the following.

The Nifty Option Contract has 75 shares per lot. A person bought a call option on Nifty for 10 lots. The premium per share was Rs 50. He exited the option contract when the premium per share was Rs 80. In the whole transaction his total expenses were Rs 225.

Static or Current – **STATIC** Subject - **Finance** Difficulty Level – M**edium** Topic – **Derivatives (Options) (Options not part of syllabus bur covered in EduTap's Course)**

Options:

(a) Rs 22500
(b) Rs 22275
(c) Rs 22050
(d) Rs 22000
(e) None of Above

Answer: (b) Rs 22275

Explanation:

Total amount spent while buying the option = Rs 50 * 10 * 75 = Rs 37500

Total amount realized when exiting the option = Rs 80 * 10 * 75 = Rs 60000

Gross Profit from the option contract = Rs 60000 – Rs 37500 = Rs 22500

Less: Other Expenses = Rs 225

Net Profit on the option contract = Rs 22500 – Rs 225 = Rs 22275

Q.5) If a hotel provides complimentary breakfast to its guests, then what kind of supply is this in the context of GST?

Static or Current – **Static and/or Current** Subject – **FINANCE** Difficulty Level – **DIFFICULT** Topic – **Direct and Indirect Taxes and GST**

Options:

a) Composite Supply
b) Mixed Supply
c) Exempt Supply
d) No Supply
e) None of the above

Answer: (a) Composite Supply

Explanation:

It is a composite supply in the context of GST.

Composite supply consists of two or more goods/services, which is naturally supplied with each other in the ordinary course of business and one of them is a principal supply. The items cannot be supplied separately.

Note: Principal supply means the supply of goods or services, which constitute the predominant element of a composite supply and to which another supply is ancillary/secondary.

Following two conditions are necessary for composite supply:

(a) Supply of two or more goods or services together, AND

(b) It should be a natural bundle and they cannot be separated.

In this question, it is a composite supply as the package of accommodation facilities and breakfast is a natural combination in the ordinary course of business for a hotel. In this case, the hotel accommodation is the principal supply, and breakfast is ancillary to the hotel accommodation.

Q.6) Who among the following appoints the special auditor?

Static or Current – **Static and/or Current** Subject – **COMPANY LAW** Difficulty Level – **DIFFICULT** Topic – **Miscellaneous** (Wrong Question from Old Company law of 1956)

Options:

a) Board of Directors
b) CAG
c) Central Government
d) SEBI
e) None of the above

Answer: (c) Central Government

NOTE: This question has no relevance. This question is a part of Section 233A of the Companies Act, 1956. There is no mentioning of Special Audit or Special Auditor under the Companies Act, 2013.

Link for verification – Refer page no 122 of the following hyperlink

https://www.mca.gov.in/Ministry/pdf/Companies_Act_1956_13jun2011.pdf

Q.7) Which of the following does not appear in Cash Budget?

Static or Current – **STATIC** Subject – **COSTING** Difficulty Level – **EASY** Topic – **BUDGET AND BUDGETARY CONTROL**

Options:

(a) Collection from Debtors
(b) Depreciation
(c) Cash Sales
(d) Cash Disbursement
(e) None of the above

Answer: (b) Depreciation

Explanation:

A cash budget is a company's estimation of cash inflows and outflows over a specific period of time, which can be weekly, monthly, quarterly, or annually. A company will use a cash budget to determine whether it has sufficient cash to continue operating over the given time frame.

The cash budget represents a detailed plan of future cash flows and is composed of four elements: cash receipts, cash disbursements, net change in cash for the period, and new financing needed.

Depreciation is not a part of Cash Budget

Q.8) The Auditor can be removed before expiry of his term by which of the following?

Static or Current – **CURRENT and/or STATIC** Subject – **COMPANY LAW** Difficulty Level – **MODERATE** Topic – **AUDIT AND AUDITORS**

Options:

(a) Board of Directors
(b) Shareholders
(c) Central Government
(d) SEBI
(e) NONE OF THE ABOVE

Answer: (b) Shareholders

Explanation:

Section 140 of the Act permits removal of auditor before completion of his term and contains procedure for the same. As per sub-section (1) of section 140, the auditor appointed under section 139 may be removed from his office before the expiry of his term only by a special resolution of the company, after obtaining the previous approval of the Central Government in that behalf.

Q.9) What is difference between M1 and M3 in money supply in India?

Static or Current – **STATIC** Subject – **ECONOMICS** Difficulty Level – **MODERATE** Topic – **Demand and Supply of Money**

Options:

(a) Savings deposits with the Post Office savings bank
(b) Currency with the public
(c) Other deposits with RBI

(d) Time Deposits with the banking system
(e) None of the above

Answer: (d) Time Deposits with the banking system

Explanation:

M1 = Currency with the public + Demand deposits with the banking system + 'Other' deposits with the RBI

M3 = M1+ Time deposits with the banking system

= Net bank credit to the Government + Bank credit to the commercial sector + Net foreign exchange assets of the banking sector + Government's currency liabilities to the public – Net non-monetary liabilities of the banking sector

Q.10) Income and employment as per Keynes theory is determined by _____

Static or Current – **STATIC** Subject – **ECONOMICS** Difficulty Level – **EASY** Topic – **Classical and Keynesian Approach to Determination of Output and Employment**

Options:

(a) Price
(b) Aggregate Supply
(c) Aggregate Demand
(d) Effective Demand
(e) NONE OF THE ABOVE

Answer: (d) Effective Demand

Explanation:

In the Keynesian theory, employment depends upon effective demand. Effective demand results in output. Output creates income. Income provides employment. Since Keynes assumes all these four quantities, viz., effective demand (ED), output (Q), income (Y) and employment (N) equal to each other, he regards employment as a function of income.

Effective demand is determined by two factors, the aggregate supply function, and the aggregate demand function. The aggregate supply function depends on physical or technical conditions of production which do not change in the short run.

Q.11) Which section of the Companies Act gives power to SEBI to issue of capital and transfer of shares?

Static or Current – **STATIC** Subject – **COMPANY LAW** Difficulty Level – **MODERATE** Topic – **PROSPECTUS AND ALLOTMENT OF SECURITIES (CHAPTER III PART-I)**

Options:

(a) Section 24
(b) Section 47
(c) Section 144
(d) Section 182
(e) Section 8

Answer: (a) Section 24

Explanation:

Section 24 of the Companies Act 2013 gives power to SEBI to issue of capital and transfer of shares

Q.12) Open Interest indicates _____

Static or Current – **STATIC** Subject – **FINANCE** Difficulty Level – **MODERATE** Topic – **DERIVATIVES (FUTURES & Forwards)**

Options:

(a) The number of long contracts
(b) The number of short contracts
(c) The number of contracts outstanding

(d) The number of contracts settled
(e) None of the above

Answer: (c) The number of contracts outstanding

Explanation:

Open interest is the total number of outstanding derivative contracts, such as options or futures that have not been settled for an asset. The total open interest does not count, and total every buy and sell contract. Instead, open interest provides a more accurate picture of the options trading activity, and whether money flows into the futures and options market are increasing or decreasing.

Q.13) 8000 units were introduced in the process. 5% is the normal loss. 6600 units were transferred to next process. WIP is 1000 units which is 60% complete. Find the Equivalent Units.

Static or Current – **STATIC** Finance or Management – **COSTING** Difficulty Level – **Moderate** Topic – **PROCESS COSTING**

Options:

(a) 6200 units
(b) 7600 units
(c) 7200 units
(d) 6800 units
(e) 6300 units

Answer: (c) 7200 units

Explanation:

Input – 8000 units

Normal Loss – 5% * 8000 units = 400 units

Balance Units = 7600 units

Transferred units = 6600 units

WIP = 1000 units

Completed WIP units = 60% * 1000 = 600 units

Equivalent units = 6600 units + 600 units = 7200 units

Q.14) Calculate the total machine cost from the following

Machine Cost = Rs 15 lakh

Cartage = Rs 2000

Freight = Rs 25000

Installation = Rs 40000

Testing = Rs 18000

Static or Current – **STATIC** Subject – **Commerce and Accounts** Difficulty Level – **MODERATE** Topic – **Accounting Standard on Property Plant and Equipment**

Options:

(a) Rs 15.67 lakh
(b) Rs 15.27 lakh
(c) Rs 15.85 lakh
(d) Rs 15.45 lakh
(e) None of the above

Answer: (c) Rs 15.85 lakh

Explanation:

All the given costs form a component of the total cost of machine and would be included in the total cost incurred. Adding all the given costs, the total cost of a machine = Rs 15.85 lakh

Q.15) Sales unit is 162500. Total Actual Cost is Rs 3 lakhs. Actual Fixed Cost is Rs 87000 (in line with budgeted cost). Total Actual Cost is Rs 18000 more than the budgeted cost. Find the Budgeted Variable Cost per unit.

Static or Current – **STATIC** Subject – **COSTING** Difficulty Level – **MODERATE** Topic – **BUDGET AND BUDGETARY CONTROL**

Options:

(a) 2.27
(b) 1.74
(c) 2.43
(d) 1.20
(e) 1.42

Answer: (d) 1.20

Explanation:

Total Actual Cost = Rs 3,00,000

Difference between Total Actual Cost and Budgeted Actual Cost = Rs 18,000

Budgeted Actual Cost = Rs 3,00,000 – Rs 18,000 = Rs 2,82,000

Less: Budgeted Fixed Cost = Rs 87,000

Budgeted Variable Cost = Rs 1,95,000

Therefore, Budgeted Variable Cost per unit = Budgeted Variable Cost / Sales units = Rs 1,95,000 / 162500 units = Rs 1.2 / unit

Q.16) The Selling price per unit is Rs 40. The P/V Ratio is 40%. The amount of fixed costs = Rs 60,000. Find the BEP in units.

Static or Current – **STATIC** Subject – **COSTING** Difficulty Level – **EASY** Topic – **MARGINAL COSTING**

Options:

(a) 3750 units
(b) 3250 units
(c) 3500 units
(d) 3675 units
(e) 3720 units

Answer: (a) 3750 units

Explanation:

Selling price per unit = Rs 40
P/V Ratio = 40%
Therefore, Variable cost per unit = Rs 40 * 60% = Rs 24
Contribution per unit = Rs 40 – Rs 24 = Rs 16
Fixed Costs = Rs 60,000
Therefore, BEP in units = Fixed Costs / Contribution per unit = Rs 60,000 / Rs 16 = 3750 units

Q.17) MRP II is a type of _____

Static or Current – **STATIC** Subject – **COSTING** Difficulty Level – **Difficult** Topic – Lean System and Innovation

Options:

(a) Production Design Technique
(b) Selling and Distribution Development Technique
(c) Price Reduction Technique
(d) Efficient Marketing Technique
(e) None of the above

Answer: (a) Production Design Technique

Explanation:

Manufacturing Resource Planning (MRP II) is a computer-based system that can create detailed production schedules using real-time data to coordinate the arrival of component materials with machine and labor availability. MRP II is used widely by itself, but it's also used as a module of more extensive enterprise resource planning (ERP) systems.

MRP II is an extension of the original materials requirements planning (MRP I) system. Materials requirements planning (MRP) is one of the first software-based integrated information systems designed to improve productivity for businesses.

A materials requirement planning information system is a sales forecast-based system used to schedule raw material deliveries and quantities, given assumptions of machine and labor units required to fulfill a sales forecast.

Q.18) Roles and Responsibilities of Forward Market Commission duties are transferred to _____

Static or Current – **STATIC** Subject – **FINANCE** Difficulty Level – **Easy** Topic – **DERIVATIVES (FUTURES & FORWARDS)**

Options:

(a) SEBI
(b) RBI
(c) SBI
(d) NPCI
(e) None of the above

Answer: (a) SEBI

Explanation:

The Forward Markets Commission (FMC) was the chief regulator of commodity futures markets in India. As of July 2014, it regulated Rs 17 trillion worth of commodity trades in India. On 28 September 2015 the FMC was merged with the Securities and Exchange Board of India (SEBI) to make the regulation of commodity futures market strong.

Q.19) Reduction of share capital can be done with the approval of _____

Static or Current – **STATIC** Subject – **COMPANY LAW** Difficulty Level – **Easy** Topic – **SHARE CAPITAL AND DEBENTURES**

Options:

(a) SEBI
(b) Board of Directors
(c) Central Government
(d) Special Resolution
(e) None of the above

Answer: (d) Special Resolution

Explanation:

According to Section 66 of the Companies Act, 2013, Subject to confirmation by the Tribunal on an application by the company, a company limited by shares or limited by guarantee and having a share capital may, by a special resolution, reduce the share capital in any manner.

Q.20) Stock Price is Rs 60. The Initial Margin is 40% and Maintenance Margin is 20%. At what price the Margin Call would be made?

Static or Current – **STATIC** Subject – **FINANCE** Difficulty Level – **HARD** Topic – **DERIVATIVES (FUTURES & FORWARD)**

Options:
(a) Rs 24
(b) Rs 36
(c) Rs 48
(d) Rs 45
(e) None of Above

Answer: (D) Rs 45

Explanation:

Initial margin is the amount required by the exchange to initiate a futures position. While the exchange sets the margin amount, your broker may be required to collect additional funds for deposit. Maintenance margin is the minimum amount that must be maintained at any given time in your account.

A margin call is a demand from a brokerage firm to a customer to bring margin deposits up to the initial or original margin levels to maintain the existing position. A margin call typically occurs when an adverse move against the customer's position transpires.

We will be using the textbook method for solving this question,

Formula is for the same is

$$\text{Margin Call Price} = \text{Initial Purchase Price} \times \frac{1-\text{Initial Margin}}{1-\text{Maintenance Margin}}$$

If you put all the values in the formula, you will get

Margin Call Price = 60*1-0.40/1-0.20
Which will be, 60*0.60/0.80 = Rs. 45

So, an investor will get the margin call at Rs. 45, therefore Option D is correct.

Q.21) What kind of a role the manager is performing when he is representing the company in all the industry meetings?

Options:
(a) Monitor
(b) Disseminator
(c) Spokesperson
(d) Figurehead
(e) None of the above

Answer: (c) Figurehead

Explanation:

The role here of a manager is that of a Figurehead. He is present in the meeting as a ceremonial figure. Some people might answer it as Spokesperson which is debatable but spokesperson is like a one who interacts with the media and acts as a mediator in case of conflict. If Anil Ambani goes to the meeting conducted by **ASSHOCAM** then he is acting as figurehead

Spokesperson – Managers represent and speak for their organization. In this role, you're responsible for transmitting information about your organization and its goals to the people outside it.

Monitor – In this role, you regularly seek out information related to your organization and industry, looking for relevant changes in the environment. You also monitor your team, in terms of both their productivity, and their well-being.

Disseminator – This is where you communicate potentially useful information to your colleagues and your team.

Figurehead – As a manager, you have social, ceremonial and legal responsibilities. You're expected to be a source of inspiration. People look up to you as a person with authority, and as a figurehead.

Mintzberg published his Ten Management Roles in his book, "Mintzberg on Management: Inside our Strange World of Organizations," in 1990.

The ten roles are:

1. Figurehead.
2. Leader.
3. Liaison.
4. Monitor.
5. Disseminator.
6. Spokesperson.
7. Entrepreneur.
8. Disturbance Handler.
9. Resource Allocator.
10. Negotiator.

Q.22) If a manager informs employees of policies and related stuff, then the role played by him is that of a _____

Static or Current – **STATIC** Subject – **MANAGEMENT** Difficulty Level – **EASY** Topic – **GENERAL MANAGEMENT**

Options:

(a) Leader
(b) Liaison
(c) Resource Allocator
(d) Disseminator
(e) Spokesperson

Answer: (d) Disseminator

Explanation:

The role here of a manager is that of a Disseminator

Disseminator – This is where you communicate potentially useful information to your colleagues and your team.

Leader – This is where you provide leadership for your team, your department or perhaps your entire organization; and it's where you manage the performance and responsibilities of everyone in the group.

Liaison – Managers must communicate with internal and external contacts. You need to be able to network effectively on behalf of your organization.

Resource Allocator – You'll also need to determine where organizational resources are best applied. This involves allocating funding, as well as assigning staff and other organizational resources.

Spokesperson – Managers represent and speak for their organization. In this role, you're responsible for transmitting information about your organization and its goals to the people outside it.

Mintzberg published his Ten Management Roles in his book, "Mintzberg on Management: Inside our Strange World of Organizations," in 1990.

The ten roles are:

1. Figurehead.
2. Leader.
3. Liaison.
4. Monitor.
5. Disseminator.
6. Spokesperson.
7. Entrepreneur.
8. Disturbance Handler.
9. Resource Allocator.
10. Negotiator.

Q.23) The role played by a HR manager in the career planning, training and development of a worker is _____

Static or Current – **STATIC**
Subject – **MANAGEMENT**
Difficulty Level – **MODERATE**
Topic – **General MANAGEMENT**

Options:

(a) Strategist
(b) Welfare
(c) Counsellor
(d) Spokesperson
(e) Developmental

Answer: (e) Developmental

Explanation:

The role here played by the HR manager is a Developmental Role

Developmental Role:

Development of workers for attaining company goals is made by the HR manager through improvement of knowledge, skill, abilities, aptitude, attitude, value, beliefs etc. A dynamic organization needs dynamic employees and transformation of employee's mind-set to the process of dynamism is possible only when all the potential areas for growth and development are reinforced.

HR manager takes all possible measures for growth and development of employees through formulation of HR policies in the matter of training, career planning and development, counselling etc.

Strategist Role:

HR manager helps to accomplish business strategy of the organization through introducing and implementing HR strategies.

Welfare Role:

HR executive looks to the welfare aspect of the employee's viz., canteen, creche, rest-room, hospital, transportation, housing accommodation, school, etc. His one of the principal roles is to provide welfare facilities to the employees for their betterment and well-being.

Counsellor's Role:

Because of illiteracy and ignorance workers cannot take decision in their personal problems and they need advice to sort out such problems, viz. education of children, medical treatment, marital matter, family problems, etc. HR manager, as he comes close to the workers because of his nature of work, develops understanding between them and advises, guides the workers in right direction.

Spokesperson Role:

HR executive works as a spokesperson of the company especially, in the matter of depicting organization health, condition, strength etc. to the employees while negotiating for settlement of industrial disputes. He also acts as a representative of the workers when they are non-unionized/unorganized and cannot represent their case properly to the top management. Under such circumstances HR manager places their grievances, problems, demand to the top management for settlement/redressal.

Q.24) Which of the following is a technique of Inventory Management?

Static or Current – **STATIC** Subject – **Costing** Difficulty Level – **EASY** Topic – **Miscellaneous/Materials Cost (From Material Costing Not in Syllabus Directly but it's a basic topic covered in EduTap's Course)**

Options:

(a) ABC Analysis
(b) Standard Costing
(c) Marginal Costing
(d) Process Costing
(e) None of the above

Answer: (a) ABC Analysis

Explanation:

The correct answer is ABC Analysis.

This inventory categorization technique splits subjects into three categories to identify items that have a heavy impact on overall inventory cost.

- Category A serves as your most valuable products that contribute the most to overall profit.
- Category B is the products that fall somewhere in between the most and least valuable.
- Category C is for the small transactions that are vital for overall profit but don't matter much individually to the company altogether.

Q.25) Net Profit = Rs 30,000. Collection from debtors = Rs 2500. Paid to creditors = Rs 7500. What is the net cash flow from operations?

Static or Current – **STATIC** Subject – **Commerce and Accounts** Difficulty Level – **EASY** Topic – **Cash Flow Statement**

Options:

(a) Rs 32,500
(b) Rs 25,000
(c) Rs 27,500
(d) Rs 35,000
(e) None of above

Answer: (b) Rs 25,000

Explanation:

Net Cash Flows from Operations = Rs 30,000 + Rs 2,500 – Rs 7,500 = Rs 25,000

Q.26) When the company dissolves, which of the following the debenture holders have the right to receive?

Static or Current – **STATIC** Subject – **Finance** Difficulty Level – **EASY** Topic – **Primary and Secondary Markets (Debt Markets)**

Options:

(a) Principal and Interest
(b) Principal

(c) Interest
(d) Dividend
(e) None of Above

Answer: (a) Principal and Interest

Explanation:

When the company dissolves, the debenture holders have the first right to claim the interest and the principal both. Hence option (a) is the correct answer.

Q.27) Which of the following constitutes fiscal deficit?

Static or Current – **STATIC** Subject – **ECONOMICS** Difficulty Level – **Moderate** Topic – **UNION BUDGET and Fiscal Policy**

Options:
(a) Total expenditure
(b) Revenue received – total expenditure
(c) Loan expenditure
(d) Total revenue received + Recovered loan and other receipt – Total Expenditure
(e) Total Borrowings

Answer: (d) Total revenue received + Recovered loan and other receipt – Total Expenditure

Explanation:

Fiscal Deficit = Total revenue received + Recovered loan and other receipt – Total Expenditure

Q.28) What is the difference between GVA at Basic Price and GDP?

Static or Current – **STATIC** Subject – **ECONOMICS** Difficulty Level – **Easy** Topic – **NATIONAL INCOME**

Options:

(a) Investments
(b) Taxes and Subsidies
(c) Taxes
(d) Subsidies
(e) None of Above

Answer: (b) Taxes and Subsidies

Explanation:

GVA at basic prices will include production taxes and exclude production subsidies available on the commodity. GVA at factor cost includes no taxes and excludes no subsidies. GDP at market prices include both production and product taxes and excludes both production and product subsidies.

Q.29) As per law what is this company called when 1 partner has 999 shares and another has 1 share?

Static or Current – **STATIC**
Subject – **Company Law**
Difficulty Level – **Easy**
Topic – **Audit and Auditors**

Options:

(a) Illegal company
(b) Monopoly
(c) Partnership
(d) Private Company
(e) None of the above

Answer: (d) Private Company

Explanation:

As per the provisions of the Companies Act, 2013, the minimum number of members for a private company is 2 and there are no restrictions on the division of share capital among the members. Therefore, the answer is (d) Private Company

Q.30) Which of the following will not affect Current Account Deficit?

Static or Current – **STATIC**
Subject – **ECONOMICS**
Difficulty Level – **Difficult**
Topic – **BALANCE OF PAYMENT**

Options:

(a) Capital Inflow
(b) Consumer Spending
(c) Forex Outflow
(d) Savings rate
(e) Natural Resources

Answer: (e) Natural Resources

Explanation:

The size of current account deficit/surplus is affected by several factors including:

- Forex outflow when we import goods can lead to current account deficit
- Level of consumer spending (economic growth) and hence import spending
- Capital flows such as remittances of money by NRIs would be considered in the current account
- Saving rates – influencing level of import spending
- Relative inflation/competitiveness

There is no direct Link of Natural Resources in Current Account Deficit

Q.31) Which instrument is used by foreign entities not registered with SEBI to invest in India markets via registered brokers?

Static or Current – **STATIC**
Subject – **FINANCE**
Difficulty Level – **Easy**
Topic – **Primary and secondary Markets (Equity Markets)**

Options:

(a) Participatory Notes
(b) IDR

(c) GDR
(d) Both B and C
(e) None of the above

Answer: (a) Participatory Notes

Explanation:

A participatory note, commonly known as a P-note or PN, is an instrument issued by a registered foreign institutional investor (FII) to an overseas investor who wishes to invest in Indian stock markets without registering themselves with the market regulator, the Securities and Exchange Board of India (SEBI).

Q.32) Which of the following is not a part of the Money Market?

Static or Current – **STATIC** Subject - **FINANCE** Difficulty Level – **EASY** Topic – **Primary and Secondary Markets (DEBT MARKETS)**

Options:

(a) Commercial Papers

(b) T-bills

(c) Derivatives

(d) Certificate of Deposits

(e) None of the above

Answer: (c) Derivatives

Explanation:

The money market is a component of the economy which provides short-term funds. The money market deals in short-term loans, generally for a period of a year or less.

Derivatives are more of a risk management tool. Rest of the options are money market instruments

Q.33) Net Profit Ratio is 5%. Total Assets = Rs 90,00,000. Return on Assets = 9%. Find the total assets turnover ratio.

Static or Current – **STATIC**
Subject – **Commerce and Accounts**
Difficulty Level – **MODERATE**
Topic – **RATIO ANALYSIS**

Options:

(a) 1.7

(b) 1.8

(c) 2.3

(d) 3.6

(e) None of the above

Answer: (b) 1.8

Explanation:

ROTA = PAT/Total Assets

ROTA = 9% or .09

Total Assets = 90,0000

PAT = Rs 90,00,000 * 0.09 = Rs 8,10,000

$$\text{Net profit margin} = \frac{\text{Profit after tax}}{\text{Sales}}$$

Net Profit Margin = 5% 0r .05

PAT = 8,10,000

=> .05 = Rs 8,10,000/Sales

=> Sales = Rs 1,62,00000

$$\text{Total assets turnover} = \frac{\text{Sales}}{\text{Total assets}}$$

Total Assets Turnover Ratio = Sales/Total Assets = Rs 1,62,00,000 / Rs 90,00,000 = 1.8

Q.34) Which of the following is the most volatile investment?

Static or Current – **STATIC** Subject - **FINANCE** Difficulty Level – **MODERATE** Topic – **Primary and Secondary Markets (Equity MARKETS)**

Options:

(a) FDI

(b) FPI

(c) ECB

(d) All of the above

(e) None of the above

Answer: (b) FPI

Explanation:

By buying and selling shares, bonds and debentures, FPIs are mainly made with the intention of making fast money. FPIs are created for shorter periods because companies are not owned by foreign investors and instead invest in the securities of existing companies. FPI's are highly volatile in nature.

Q.35) Financial goods and services is provided to economically weaker sections at affordable price by financial institutions then it is called?

Static or Current – **STATIC** Subject - **FINANCE** Difficulty Level – **EASY** Topic – **FINANCIAL INCLUSION**

Options:

(a) Financial Inclusion

(b) Fiscal Deficit

(c) Tax Exemption

(d) Subsidies

(e) None of the above

Answer: (a) Financial Inclusion

Explanation:

Financial inclusion is defined as the availability and equality of opportunities to access financial services. It refers to a process by which individuals and businesses can access appropriate, affordable, and timely financial products and services. These include banking, loan, equity, and insurance products.

Q.36) Profit on Forfeiture shares after reissue is transferred to _____

Static or Current – **STATIC** Subject - **Commerce and Accounts** Difficulty Level – **Easy** Topic – **Accounting for Share Capital**

Options:

(a) General Reserve

(b) Debenture Redemption Reserve

(c) Securities Premium Reserve

(d) Capital Reserve

(e) None of the above

Answer: (d) Capital Reserve

Explanation:

If the discount allowed on reissue of shares is less than the forfeited amount, there will be some balance left in the Forfeited Account, which should be transferred to capital reserve, because it is a profit of capital nature.

Q.37) In trait approach theory, intelligence, emotion, knowledge form which trait of the leader?

Static or Current – **STATIC** Subject - **MANAGEMENT** Difficulty Level – **MODERATE** Topic – **LEADERSHIP**

Options:

(a) Intellectual

(b) Personality

(c) Communication

(d) Conscientious

(e) None of the above

Answer: (a) Intellectual

Explanation:

Knowledge and Intelligence are intellectual traits of a person.

Q.38) Over and Under Absorption of Overheads due to Normal Factors are _____

Static or Current – **STATIC** Subject - **COSTING** Difficulty Level – **DIFFICULT** Topic – **Miscellaneous/Overhead Cost (From Overhead topic which is not part of syllabus but is a basic topic of costing and covered in EduTap Course)**

Options:

(a) Charged to Financial Profit and Loss Account

(b) Charged to Costing Profit and Loss Account

(c) Treated using Supplementary Rate

(d) They are not rectified

(e) None of the above

Answer: (c) Treated using Supplementary rate

Explanation:

Under Normal Factors, a supplementary rate can be used to adjust the amount of under-or over-absorption. The supplementary rate is determined by dividing the amount of under – or over-absorption by the actual absorption base. Under-absorption is adjusted by using a plus supplementary rate while a minus supplementary rate in used to correct over-absorption.

The amount of under-or over-absorption can be transferred to the costing profit and loss account to arrive at the accurate net profit for an accounting period. When over-or under absorption has been due to abnormal factors, the amount of under- or over-absorption is necessarily transferred to the costing profit and loss account.

Q.39) Calculate exchange profit & Loss for 2011-12 and 2012-13 as per AS11?

Goods worth Rs 1 Lakh purchased on 23/03/2012 at Rs 46.60 per dollar rate

Dollar rate on 31st March 2012 = Rs 47 per dollar

In May 2012 when payment was made, exchange price was Rs 47.5 per dollar

Static or Current – **STATIC** Subject – **Commerce and Accounts** Difficulty Level – **Moderate** Topic – **ACCOUNTING STANDARD - FOREIGN EXCHANGE Transactions**

Options:

(a) Rs 40,000

(b) Rs 50,000

(c) Rs 90,000

(d) Rs 10,000

(e) None of the above

Answer: (c) Rs 90,000

Explanation:

Profit/Loss for the year 2011-12 = Rs 47.00 – Rs 46.60 = Rs 0.4 per dollar loss,
Total = Rs 0.4 * 1 lakh = Rs 40,000

Profit/loss for the year 2012-13 = Rs 47.50 – Rs 47.00 = Rs 0.5 per dollar loss,
Total = Rs 0.5 * 1 lakh = Rs 50,000

Total loss for the years 2011-12 and 2012-13 = Rs 90,000

Q.40) Which of the following are qualities of an effective leader?

Static or Current – **STATIC** Subject - **MANAGEMENT** Difficulty Level – **Easy** Topic – **LEADERSHIP**

Options:

(a) Task Oriented

(b) Task Oriented and Concern for the Team, make employee feel needed

(c) Relationship Oriented but not task oriented

(d) Self-centered

(e) None of the above

Answer: (b) Task Oriented and Concern for the Team, make employee feel needed

Explanation:

The effective quality of a leader is that he should be task oriented but at the same time have the concern for his team and make the employees feel needed so that they will be motivated to do to the work efficiently and effectively.

Q.41) Long term borrowings maturing in the current year are shown in the balance sheet under which head?

Static or Current – **STATIC** Subject – **Commerce and Accounts** Difficulty Level – **EASY** Topic – **Preparation and Presentation of Company Final Accounts**

Options:

(a) Current Assets

(b) Fixed Assets

(c) Long-term liabilities

(d) Current liabilities

(e) None of the above

Answer: (d) Current liabilities

Explanation:

The current maturity of a company's long-term debt refers to the portion of liabilities that are due within the next 12 months. As this portion of outstanding debt comes due for payment within the year, it is removed from the long-term liabilities account and recognized as a current liability on a company's balance sheet. Any amount to be repaid after 12 months is kept as a long-term liability.

Q.42) What is considered as the life spark of management and includes motivating, guiding, etc. to the employees?

Static or Current – **STATIC** Subject - **MANAGEMENT** Difficulty Level – **Easy** Topic – **GENERAL MANAGEMENT**

Options:

(a) Controlling

(b) Directing

(c) Planning

(d) Organising

(e) None of the above

Answer: (b) Directing

Explanation:

Directing means giving instructions, guiding, counselling, motivating and leading the staff in an organisation to achieve Organisational goals.

Directing is a key managerial function to be performed by the manager along with planning, organising, staffing and controlling. From top executive to supervisor performs the function of directing and it takes place accordingly wherever superior – subordinate relations exist.

It is that part of managerial function which actuates the organizational methods to work efficiently for achievement of organizational purposes. It is

considered life-spark of the enterprise which sets it in motion the action of people because planning, organizing and staffing are the mere preparations for doing the work. Direction is that inert-personnel aspect of management which deals directly with influencing, guiding, supervising, motivating sub-ordinate for the achievement of organizational goals.

Q.43) Which of the following is aimed at eliminating waste and increasing efficiency?

Static or Current – **STATIC** Subject - **COSTING** Difficulty Level – **Easy** Topic – **LEAN System and Innovation**

Options:

(a) Six Sigma

(b) Kaizen

(c) Business Process Re-engineering

(d) Both B and C

(e) None of the above

Answer: (b) Kaizen

Explanation:
Kaizen is aimed at decreasing waste by eliminating overproduction, improving quality, being more efficient, having less idle time, and reducing unnecessary activities. All these translate to money savings and turn potential losses into profits.

Q.44) Which of the following is a psychological barrier?

Static or Current – **STATIC** Subject - **MANAGEMENT** Difficulty Level – **MODERATE** Topic – **COMMUNICATION**

Options:

(a) Highly Attentive

(b) High Retention

(c) Premature Evaluation

(d) Good Emotions

(e) None of the above

Answer: (c) Premature Evaluation

Explanation:

Many people have a tendency to jump to the conclusions directly and form judgments without considering all the aspects of information. This is generally done by the people who are impatient and resort to a selective listening. This premature evaluation of the information acts as a barrier to the effective communication and lowers the morale of the sender.

Q.45) What is the difference between morale and motivation?

Static or Current – **STATIC** Subject - **MANAGEMENT** Difficulty Level – **Easy** Topic – **MOTIVATION**

Options:

(a) Motivation motivates whereas Morale inspires

(b) Motivation Inspires whereas Morale Motivates

(c) Motivation is group concept whereas Morale is an Individual Concept

(d) Motivation is an Individual concept whereas Morale is a group Concept

(e) None of the above

Answer: (d) Motivation is group concept whereas Morale is an Individual Concept

Explanation:

Motivation is an individual concept while Morale is a group concept. Motivation takes into consideration the individual differences among the employees and morale of the employees can be increased by taking those

factors into consideration which influences group scenario or total work settings.

Q.46) Which section of the Companies Act 2013 deals with the removal of the name of the company from the register of the companies?

Static or Current – **STATIC AND/OR CURRENT** Subject – **COMPANY LAW** Difficulty Level – **DIFFICULT** Topic – **MISCELLANEOUS (From REMOVAL OF NAMES OF COMPANIES FROM THE REGISTER OF COMPANIES (CHAPTER XVIII) of Company Law which is not in syllabus)**

Options:

(a) Section 248(2)

(b) Section 141(3)

(c) Section 257(1)

(d) Section 182(2)

(e) None of the above

Answer: (a) Section 248(2)

Explanation:

Section 248(2) of the Companies Act, 2013, deals with the removal of the name of the company from the register of the companies.

Q.47) Which of the following is not a component of cash flow from operations?

Static or Current – **STATIC** Subject – **Commerce and Accounts** Difficulty Level – **EASY** Topic – **CASH FLOW**

Options:

(a) Settling off trade payables

(b) Collection from debtors

(c) Both A and B

(d) Payment to supplier of machinery

(e) None of the above

Answer: (a) Payment to supplier of machinery

Explanation:

Cash flow from operating activities (CFO) indicates the amount of money a company brings in from its ongoing, regular business activities, such as manufacturing and selling goods or providing a service to customers. It is the first section depicted on a company's cash flow statement.

Cash flow from operating activities does not include long-term capital expenditures or investment revenue and expense. CFO focuses only on the core business, and is also known as operating cash flow (OCF) or net cash from operating activities.

Payment to supplier of machinery is a long-term capital expenditure and will not appear in cash flow from operations.

Q.48) Which of the following is true about Oral Communication?

Static or Current – **STATIC** Subject – **Management** Difficulty Level – **EASY** Topic – **Communication**

Options:

a) It acts as a legal proof
b) It is not suitable for addressing people
c) Oral communication is more reliable than written communication
d) Oral Communication is kind of informal communication

Answer: (d) Oral Communication is kind of informal Communication

Explanation:

Oral Communication is informal communication whereas written communication is formal communication. Whenever we want to do formal communication, we ask others to put it in written communication is a formal communication

Q.49) There was a Numerical on Debentures. It was asked by how much the Debenture Account will get credited by? We do not have exact Question

Static or Current – **STATIC** Subject – **Commerce and Accounts** Difficulty Level – **Moderate** Topic – **Miscellaneous** (Accounting for Debentures is not in Syllabus)

Q.50) There was some numerical on Inventory. We do not have exact question with us

Static or Current – **STATIC** Subject – **Costing** Difficulty Level – **Moderate** Topic – **Miscellaneous/Material Cost** (From Material Cost chapter which is not in syllabus but part of basics of costing and covered in EduTap Course)

others require a more in-depth analysis. Tailor your study approach, accordingly, allocating more time to complex topics that demand deeper comprehension.

Part D

SEBI Grade A Online Coaching

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Author's Note

- While every effort has been made to ensure the accuracy and relevance of the questions, there can be some variations in the question language and options. Therefore, we encourage you to use these questions as a reference point.

This will help you acquire a comprehensive understanding of the syllabus and increase your chances of success in the upcoming SEBI Grade A Officer Exam.

What Next?

This guidebook has provided you with key insights into the most important topics, enabling you to refine your preparation strategy effectively. To enhance your exam readiness further, consider implementing the following tips:

- **Identify Right Source:** Follow the best study resources (books, online courses, videos, etc.) for each topic on the list. Do not follow multiple sources for the same topic but rather follow good sources multiple times.

- **Topic Prioritization:** Review the document to identify key topics that require special attention. Prioritize your study schedule based on the significance of each topic in the syllabus. Ensure a balanced approach, allocating more time to critical subjects.

- **Width of Syllabus:** Merely going through the syllabus is not enough; Regularly revisit the document to reassess what topics actually need to be covered.

- **Depth of Understanding:** Recognize the varying depths at which topics should be covered. While some concepts demand a broad understanding, others require a more in-depth analysis. Tailor your study approach, accordingly, allocating more time to complex topics that demand deeper comprehension.

- **Seek Guidance:** If you encounter difficulties, it is recommended to seek guidance from mentors, teachers, or online forums. Discussing complex topics can provide valuable insights and clarification.

- **Stay Positive and Motivated:** Maintain a positive mindset throughout your preparation.

By following these recommendations and leveraging the information provided in this guidebook, you can significantly enhance your chances of becoming a SEBI officer. Remember, the key is to stay focused, committed, and persistent on your path to success.

We at EduTap wish you the very best in your SEBI Grade A exam preparation.

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We are a passionate team of experienced professionals who understand the challenges of aspirants preparing for government jobs. Our vision is to "***create a nurturing ecosystem for the aspirants so that they can feel safe, guided, and mentored***."

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We empower students to achieve their goals through comprehensive guidance, expert mentorship, and a supportive community. From a humble beginning in 2016, we have grown to serve over 6 lakh learners, consistently producing top results in Regulatory Bodies Exams (RBI, NABARD, SEBI), IIBF Certification Exams (JAIIB and CAIIB), and UPSC Civil Services (CSAT).

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